

Bihar State Electricity Board v. Kishori Devi

AIR 2003 Patna 38; (2002) 2 PLJR 773 (LPA Nos. 20 & 25 of 2001)

High Court of Patna (HC-DB) | 2002-05-09 | Bench: Nagendra Rai J, R.S. Garg J (2) | IK doc 382076 | HC-013 | schema 1.0

Where a consumer is found using electricity beyond the sanctioned load (a malpractice/theft), the Board may disconnect supply WITHOUT prior notice under a statutory tariff clause — natural justice being excluded by the urgency/public-interest of preventing pilferage — but the subsequent determination of the value of energy consumed and the compensation MUST be made after giving the affected person a hearing.

GOOD-LAW-ON-PRINCIPLE as of 2026-07 · provision-version OK: False

natural justice: The disconnection-without-notice / hearing-at-assessment principle remains good law and consistent with s.126(3) practice; but the case is decided under the PRE-2003 Supply Act 1948 and tariff Clause 16.9, not ss.126/135/56 of the 2003 Act.

Does NOT construe the Electricity Act, 2003. Cite it for the disconnection-vs-assessment natural-justice principle, not for the text of s.126/s.135. The 2003 Act now codifies provisional/final assessment (s.126(3)) with a mandatory hearing and separately regulates disconnection (s.56) and theft (s.135).

FACTS & PROFILE

A non-domestic (1 KW, one-shop) consumer was found on surprise inspection to have extended her connection to four tenant-shops and a coaching institute, consuming well beyond the sanctioned load (the meter had burnt out); the Board disconnected the line without notice under Clause 16.9 of its tariff notification and lodged an FIR for theft under the Indian Electricity Act. The Single Judge quashed the disconnection for want of notice; the Board appealed.

Procedural posture	Letters Patent Appeals against a Single Judge order allowing writ petitions for restoration of supply
Outcome for	licensee
Relief granted	Disconnection upheld; reconnection deferred until compensation is determined (after hearing) and paid.
Consumer category	non-domestic/commercial, unauthorised extension to tenants
Fact-pattern	excess-load, unauthorised-extension-to-tenants, meter-burnt, disconnection-without-notice, FIR-for-theft
State	Bihar
DISCOM / party	Bihar State Electricity Board
Statutory version	PRE-2003 regime — decided under the Indian Electricity (Supply) Act, 1948 (ss.49, 79) and the Board's tariff notification (Clause 16.9), with theft under the Indian Electricity Act, 1910; the Electricity Act, 2003 (ss.126/135/56) is NOT construed

Disposition: Both LPAs allowed; the Single Judge's order set aside. Disconnection without notice upheld as valid; but the Board directed to determine the compensation under Clause 16.9 only after a hearing, and to restore supply once she pays.

ISSUES FRAMED

1. whether the Board or its officers are required to give notice to the consumer before disconnecting electric line if they detect use of electricity in unauthorised manner in the sense of consuming electricity beyond the sanctioned load which amounts to malpractice or theft

INTERPRETATION OF THE ELECTRICITY ACT

Provisions construed: Indian Electricity (Supply) Act 1948, s.49, Indian Electricity (Supply) Act 1948, s.79(j), Tariff Notification Clause 16.9, Indian Electricity Act 1910 (theft) [analogue of 2003 Act s.135/s.126]

Tariff Clause 16.9 / s.49 Supply Act ratio pre-2003 excess-load-is-theft-malpractice

Consumption beyond the sanctioned load without the Board's consent amounts to natural justice \$126 vs \$135 theft or malpractice; the statutory tariff (Clause 16.9) empowers the Board to disconnect supply without notice on detecting unauthorised load.

“If the consumer uses electricity beyond the sanctioned load then the consumption of electricity beyond the sanctioned load without the consent of the Board amounts to theft or malpractices adopted by the consumer.”

— para 21

Tariff Clause 16.9 ratio pre-2003 natural-justice-excluded-urgency

natural justice

Where urgent action is needed to protect the Board's property and prevent ongoing pilferage, the audi alteram partem rule is dispensed with; disconnection without notice is valid and not violative of natural justice or Article 14.

“in a case where the urgent action is required, the principle of natural justice; of giving opportunity of hearing is dispensed with”

— para 21

Tariff Clause 16.9 ratio pre-2003 hearing-required-at-assessment-stage

natural justice

provisional/final

Although natural justice is excluded at the disconnection stage, the determination of the value of energy consumed and the assessment of compensation must be made after giving the affected person an opportunity of hearing — that requirement is read into the clause even though it is silent.

“the determination of value of electricity consumed and assessment of compensation in terms of the aforesaid clause has to be made after observing the principles of natural justice, i.e., after giving an opportunity to the affected person to present his/her version.”

— para 27

REGULATIONS / SUPPLY CODE CONSTRUED

- **Bihar SEB Tariff Notification dated 23.6.1993, Clause 16.9 (detection of unauthorised load: disconnection without notice + assessment of value/compensation)** — implements s.49/s.79 Supply Act 1948 (made under Indian Electricity (Supply) Act, 1948)

AUTHORITIES CITED

Municipal Corporation of Delhi v. Ajanta Iron and Steel Co. Pvt. Ltd. AIR 1990 SC 882 · Supreme Court

Cited for: Notice before disconnection was necessary there only because the agreement itself expressly made service of notice a pre-requisite for disconnection.

distinguished

“the Apex Court held that notice was necessary after taking into consideration the provisions contained in the agreement which specially provided for service of notice as a pre-requisite condition for disconnection of electric supply.”

— as quoted in the judgment

“The learned single Judge did not notice this difference between the agreement in that case and the provision of tariff notification in question which provides disconnection without notice.”

— the Court’s own treatment

M.P. Electricity Board, Jabalpur v. Harsh Wood Products (1996) 4 SCC 522; AIR 1996 SC 2258 · Supreme Court

Cited for: Where the consumer agreed to such tariff conditions and a prima facie conclusion of theft was reached, no hearing is required before disconnection; the action is not violative of Articles 20(1)/14 or natural justice.

followed

“In view of the conditions to which the respondents had agreed at the time of installation and also the prima facie conclusion reached by the authorities, it was not necessary to give further hearing to the respondents. The action taken by the appellant is not violative of Articles 20(1) , 14 of the Constitution and principles of natural justice.”

— as quoted in the judgment

Hyderabad Vanaspathi Ltd. v. A.P. State Electricity Board (1998) 4 SCC 470; AIR 1998 SC 1715 · Supreme Court

Cited for: The Board has a statutory duty to supply efficiently and must prevent unauthorised user/pilferage; conditions of supply may provide for immediate disconnection and compensation, upheld against Article 14 challenge.

followed

“it is the statutory duty of the Board to arrange for the supply of electricity throughout the State and for transmission and distribution of the same in the most efficient and economical manner. For that purpose it has necessarily got to prevent unauthorised user, pilferage or malpractices by the consumers.”

— as quoted in the judgment

RATIO & WHAT WAS DECIDED

natural justice

HC-DB (Patna)

settles

Under a statutory tariff clause, disconnection of supply on detecting excess-load/theft may be effected without prior notice (natural justice yielding to the urgency of protecting the Board's property), but the ensuing assessment of the value of energy and compensation must be made only after a hearing.

Pre-2003 regime; the same disconnection-vs-assessment natural-justice split now plays out under s.126(3)/s.135/s.56 of the 2003 Act.

SIGNIFICANCE

A reported Patna Division-Bench authority (AIR 2003 Pat 38) drawing the disconnection-vs-assessment line: immediate disconnection for theft/pilferage needs no prior hearing (following M.P. Electricity Board and Hyderabad Vanaspathi; distinguishing Ajanta Iron on the express-notice-agreement point), but the compensation assessment must observe natural justice. Decided under the Supply Act 1948 / tariff Clause 16.9, it is the pre-2003 doctrinal ancestor of the s.126(3) natural-justice and s.135 theft jurisprudence, and the judgment also urges the Board to create an appellate/revisional forum. Kept for its principle value, flagged as not construing the 2003 Act.

FLAGS

PRE-2003 regime (Supply Act 1948 ss.49/79; tariff Clause 16.9; theft under 1910 Act)

disconnection WITHOUT notice valid (urgency/public interest)

assessment of compensation REQUIRES hearing (NJ read in)

follows M.P. Electricity Board & Hyderabad Vanaspathi; distinguishes Ajanta Iron

urges Board to create appellate/revisional forum

doctrinal ancestor of s.126(3)/s.135 natural-justice line

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